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TOTAL KENYA LIMITED

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NAIROBI SECURITIES EXCHANGE LTD.

Our Ref: G10.189.0002

02 April 2014

The Chief Executive
Capital Markets Authority
Embankment Plaza
Upper Hill, Longonot Road
P.O. Box 74800 – 00200
Nairobi

Advance copy by Fax
Original by recorded delivery

Dear Sir,

RE: TOTAL KENYA LIMITED'S RESULTS FOR YEAR ENDED 31ST DECEMBER 2013

Reference is made to the above.

We enclose the Company's Income Statement, the Balance Sheet, Statement of cash flow, Statement of changes in equity and a brief commentary for the year ended 31st December, 2013 to be published in the press for your records.

Yours faithfully,
TOTAL KENYA LIMITED

Maurice K'Anjejo
CORPORATE AFFAIRS MANAGER

cc: The Chief Executive
Nairobi Securities Exchange
The Exchange
55 Westlands Road
NAIROBI

Encl.

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TOTAL KENYA LIMITED
STATEMENT OF FINANCIAL POSITION

AS AT	31 Dec 2013 KSh'000	31 Dec 2012 KSh'000
ASSETS		
Non-current assets		
Property, plant and equipment, prepaid operating leases and intangible assets	9,160,771	8,910,622
Goodwill	416,679	416,679
Deferred tax asset	369,452	304,844
Total non-current assets	**9,946,902**	**9,632,145**
Current assets		
Inventories	14,953,213	13,794,942
Trade and other receivables	10,104,545	9,054,343
Cash and cash equivalents	4,979,505	499,174
Total current assets	**30,037,263**	**23,348,459**
TOTAL ASSETS	**39,984,165**	**32,980,604**
EQUITY AND LIABILITIES		
Equity		
Share capital	9,974,771	9,974,771
Share premium	1,967,520	1,967,520
Retained earnings	3,436,769	2,250,385
Total equity	**15,379,060**	**14,192,676**
Non-current liabilities		
Trade and other payables	**1,117,028**	**854,765**
Current liabilities		
Trade and other payables	20,993,447	13,772,509
Short term bank borrowings	2,494,630	4,160,654
Total current liabilities	**23,488,077**	**17,933,163**
TOTAL EQUITY AND LIABILITIES	**39,984,165**	**32,980,604**

TOTAL KENYA LIMITED
STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED	31 Dec 2013 KSh'000	31 Dec 2012 KSh'000
Gross sales	154,626,092	119,788,989
Indirect taxes and duties	(12,908,050)	(12,338,455)
Net sales	**141,718,042**	**107,450,534**
Cost of sales	(135,371,011)	(101,577,075)
Gross profit	**6,347,031**	**5,873,459**
Other income	456,621	302,153
Operating expenses	(4,323,842)	(4,652,729)
Finance income	7,153	48,509
Finance costs	(278,695)	(1,554,715)
Foreign exchange loss	(123,751)	(80,978)
Profit/(loss) before tax	2,084,517	(64,301)
Tax charge	(772,240)	(137,841)
Profit/(loss) for the year	**1,312,277**	**(202,142)**
Other comprehensive income, net of tax	-	-
Total comprehensive income for the year	**1,312,277**	**(202,142)**
Earnings/(loss) per share (basic and diluted)	2.08	(0.32)

TOTAL KENYA LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2013

	Share capital KSh'000'	Share premium KSh'000'	Retained earnings KSh'000'	Total equity KSh'000'
As at 1 January 2012	**4,774,771**	**1,967,520**	**2,452,527**	**9,194,818**
Issued preference share capital	5,200,000	-	-	5,200,000
Loss for the year	-	-	(202,142)	(202,142)
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	(202,142)	(202,142)
As at 31 December 2012	**9,974,771**	**1,967,520**	**2,250,385**	**14,192,676**
As of 1 January 2013	**9,974,771**	**1,967,520**	**2,250,385**	**14,192,676**
Declared dividends - 2012	-	-	(125,893)	(125,893)
Profit for the year	-	-	1,312,277	1,312,277
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	1,312,277	1,312,277
As at 31 December 2013	**9,974,771**	**1,967,520**	**3,436,769**	**15,379,060**

TOTAL KENYA LIMITED		
STATEMENT OF CASH FLOWS		
FOR THE YEAR ENDED 31 DECEMBER 2013		
	31 Dec 2013	31 Dec 2012
	KSh'000'	KSh'000'
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from operations	8,316,517	6,738,395
Tax paid	(459,283)	(37,412)
Net cash generated from operating activities	**7,857,234**	**6,700,983**
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment, prepaid operating leases and intangible assets	(1,339,977)	(763,960)
Proceeds on disposal of property, plant and equipment	27,301	14,886
Interest received	7,153	48,509
Net cash used in investing activities	**(1,305,523)**	**(700,565)**
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid	(278,695)	(1,554,715)
Dividends paid	(126,661)	(129)
Proceeds from issuance of preference shares	-	5,200,000
Medium term loan repaid	-	(3,276,000)
Net cash (used in)/ generated from financing activities	**(405,356)**	**369,156**
Net increase in cash and cash equivalents	**6,146,355**	**6,369,574**
CASH AND CASH EQUIVALENTS		
As at 1 January	(3,661,480)	(10,031,054)
As at 31 December	**2,484,875**	**(3,661,480)**

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COMMENTS

The company's performance for the year ended 31 December 2013 was in line with the Board's projection. This was achieved through improved operating income and significant reduction in financing expenses arising from the impact of Kshs 5.2 billion injected by the Total Group in June 2012, together with optimization of financing needs and lower interest rates.

Sales volumes increased by 37% from 1,085 KMT in 2012 to 1,491 KMT in 2013. This increase was attributable to sales to other Oil Marketing Companies (OMCs) after the company won several contracts to supply the industry with refined products under the Open Tender System (OTS) agreement. In addition, other sales channels, especially Network, Lubricants and Aviation recorded increased sales. As a result of the strong sales performance in the various channels, the company was able to retain inland market leadership position at the same market share of 20.5 %.

Net sales increased by 32% mainly as a result of the increase in sales volumes while cost of sales increased by 33% resulting in a lower gross margin of 4.5% in 2013 compared to 5.5% in 2012. This reduction of gross margin was attributable to the OTS sales that have low margins but were more than compensated for by the increase in sales leading to 8% growth in gross profit from Kshs 5.87 billion in 2012 to Kshs 6.35 billion in 2013.

Other income increased by Kshs 154 million as a result of increase in rents and commission coupled with increase in recovery of bad debts. Operating expenses decreased by 7% (Kshs 329 million) attributable to an exceptional item of a legal case filed against the company that crystallised in 2012. Without this exceptional settlement in 2012, the 2013 operating expenses were reasonably controlled and increased by only 5 % compared to the average annual inflation of 5.8%.

Finance expenses decreased by Kshs 1.28 billion due to the impact of Kshs 5.2 billion injected by the Total group in June 2012 together with optimization of financing needs supported by a reduction in interest rates.

Profit before tax of Kshs 2.08 billion was realised in the year compared to a loss of Kshs 64 million in 2012. Net profit for the year was Kshs 1.31 billion (2012: loss of Kshs 202 million).

The company maintained a very strong statement of financial position. Total assets grew by 21% from Kshs 32.98 billion in 2012 to Kshs 39.98 billion in 2013. The shareholders equity grew by 8% from Kshs 14.19 billion to Kshs 15.38 billion.

Investments totalling Kshs 1.34 billion were made in the year compared to Kshs 763 million in 2012, representing an increase of 75% in line with the strategy to develop the business and safety standards.

OUTLOOK

The macroeconomic environment has been fairly stable over the year under review and is expected to remain so in 2014. In the Oil industry, significant challenges still remain concerning the Kenya Petroleum Refineries Limited (KPRL) toll mode period. It is on the premise of stable macroeconomic environment, continuous participation in the oil industry tenders under the OTS agreement and expected return on planned investments that the Board is confident of a positive return in line with the growth strategy.

PROPOSED DIVIDENDS

In view of the good performance of the company and taking into account the need for continued investments in all the business segments and in improved safety standards, the Directors are recommending for the approval at the Annual General Meeting the payment of a first and final dividend of Kshs 0.60 (2012: Kshs 0.20) per share for the year ended 31 December 2013, payable to the shareholders on the register of members at the close of business on 13th June 2014, subject to withholding tax where applicable.

ANNUAL GENERAL MEETING

The 60th Annual General Meeting of Total Kenya Ltd will be held on 13th June 2014

CLOSURE OF THE SHARE REGISTER

Subject to the shareholders' approval at the 60th Annual General Meeting, the share register will be closed at the close of business on 13th June 2014 for the purpose of dividend calculation.

By order of the Board

ADA EZE

Managing Director

April 2 2014